
How Trade Agreements Organize Markets

Stephen Weymouth

Dean's Professor

GEORGETOWN
UNIVERSITY

Apparel remained protected as other tariffs fell



Lewis Hine, 1908 · [Library of Congress](#), public domain.

After the Tokyo Round, 1979

6.5% average U.S. tariff on manufactured goods.

22.5% average U.S. tariff on apparel.

What sustained this difference?

Trade agreements change the cost of crossing a border and the political value of protecting it.

[Rivoli, "Dogs Snarling Together"](#); historical averages reported in the assigned chapter.

YOUR IB VOICE

QUESTION

How did U.S. textile producers secure protection while broader trade barriers fell?

Explain one political bargain in Rivoli using a mechanism from Irwin. Identify one piece of evidence that supports your explanation.

10 minutes • Individual • Notes permitted • No internet or LLMs

Keep your response for the closing reflection.

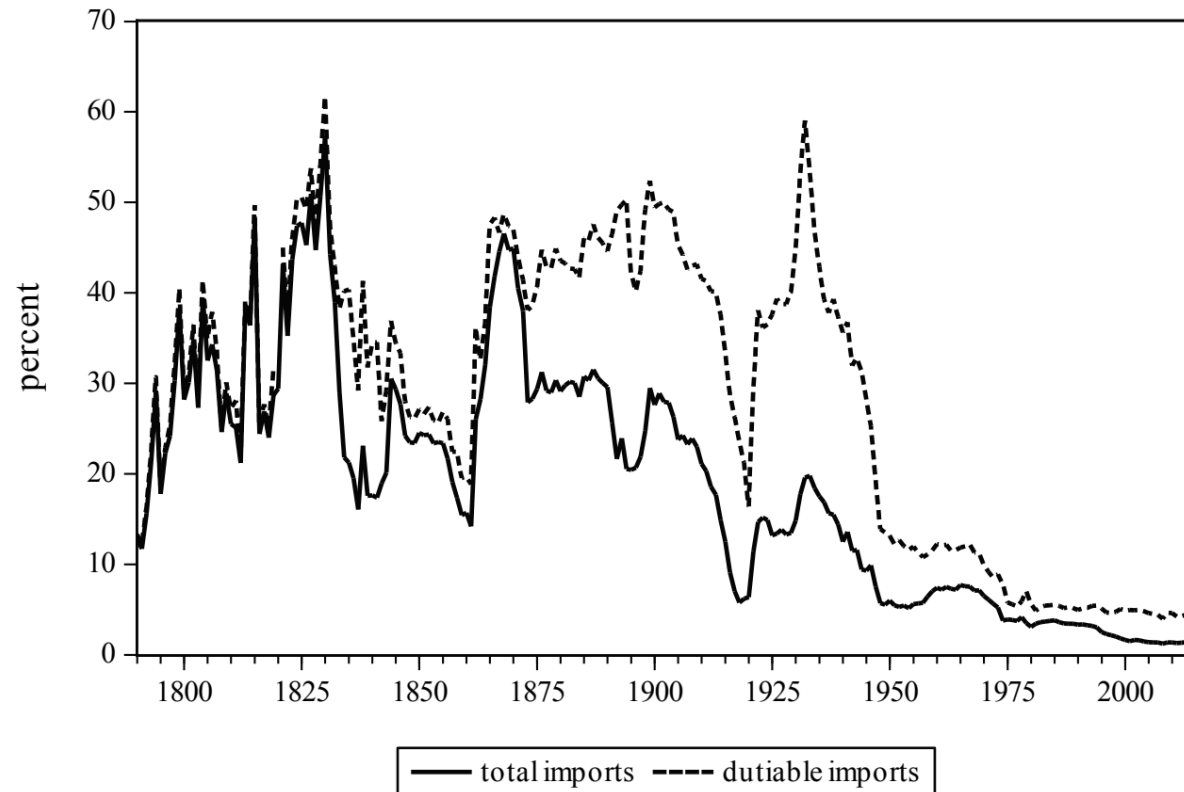
Which political bargain did you choose?

Who wanted protection, what could they offer, and why did a policymaker respond?



The Politics of Trade Policy

Three objectives shaped U.S. tariff policy



Revenue: 1790–1860

Duties financed the federal government.

Restriction: 1861–1933

Protection supported domestic producers.

Reciprocity: from 1934

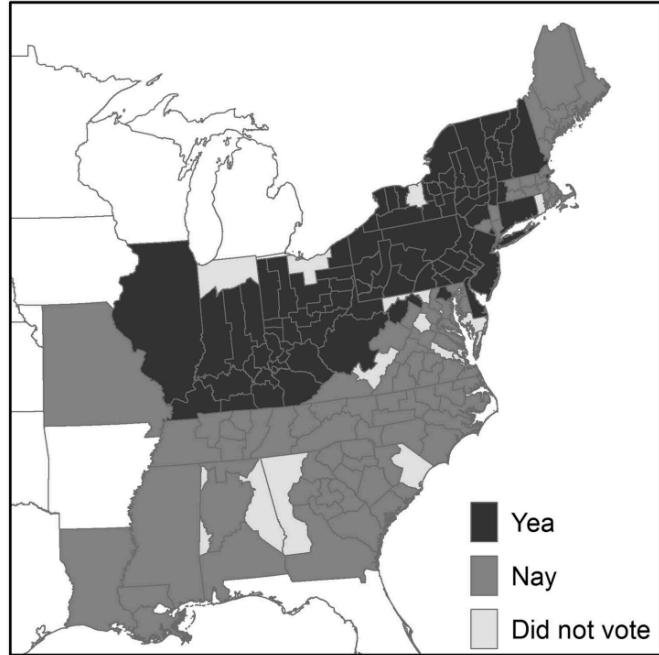
Negotiated cuts opened foreign markets.

The Civil War and Depression changed the dominant objective. Import prices also moved average tariff rates within each era.

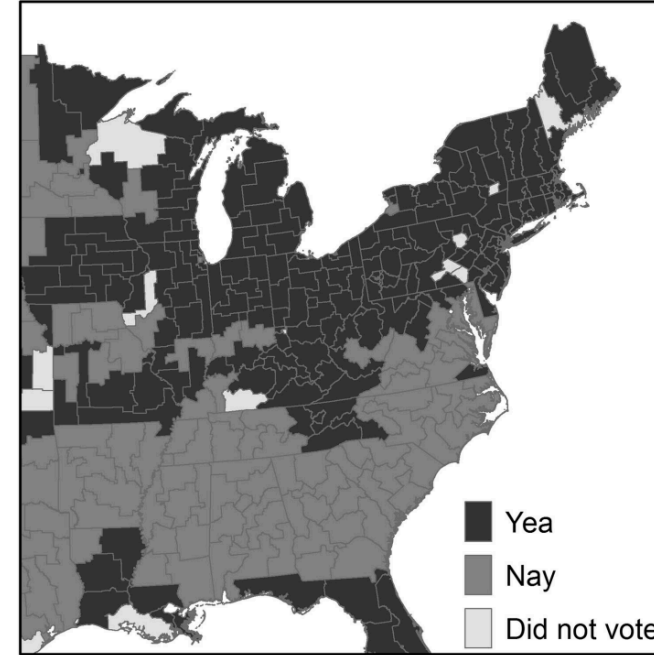
[Irwin, Introduction](#), pp. 2–8, Figure I.1 (original figure, cropped from p. 6).

Regional interests persisted in congressional votes

Tariff vote, 1828



Tariff vote, 1929



Exporting regions sought market access. Import-competing regions sought protection. Congress translated these interests into votes.

[Irwin, Introduction](#), pp. 10–16, Figure I.5; maps by Citrin GIS/Applied Spatial Analysis Lab, Dartmouth College. Cropped from p. 16.

1934: Congress delegated tariff negotiation



A different procedure

The president could negotiate tariff cuts within limits set by Congress.

Those agreements could take effect without a new congressional vote.

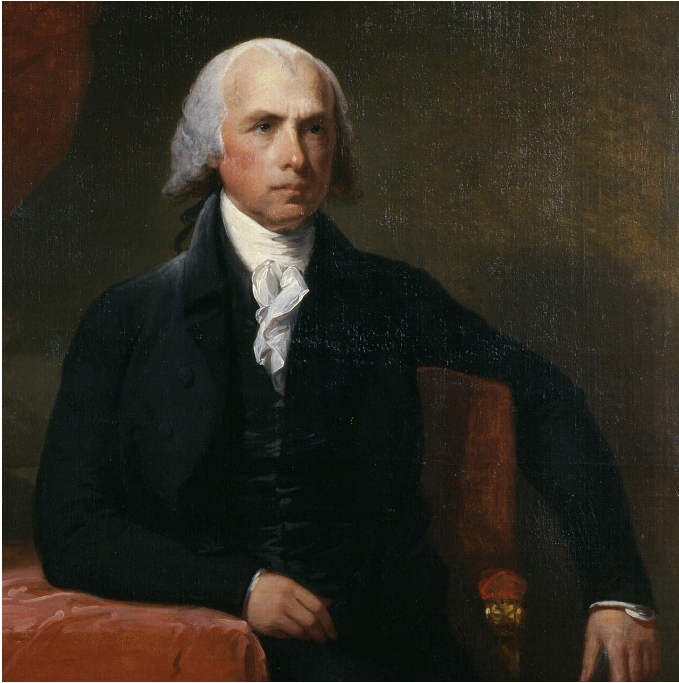
A different objective

Cordell Hull linked reciprocal trade to peace and international cooperation.

The Depression shifted political power. Hull supplied an alternative policy and a reason to pursue it.

[Irwin, Introduction](#), pp. 21–27; [U.S. Tariff Commission, historical account](#), p. 1; [USTR photograph](#).

Concentrated gains make lobbying easier



Producers

A tariff can protect many jobs and profits in a few congressional districts. Firms have a strong reason to organize.

Consumers

The extra cost spreads across many purchases. Each buyer has less reason to lobby.

Institutions amplify organized interests. Presidents also weigh national and foreign-policy objectives.

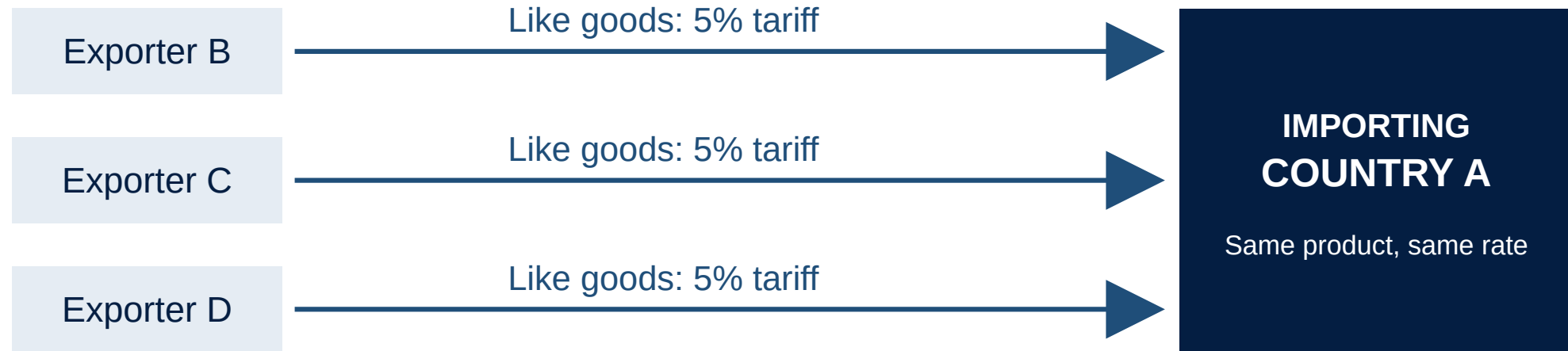
[Irwin, Introduction](#), pp. 1–2 and 18–21. Portrait: Gilbert Stuart, public domain, [Wikimedia Commons](#).



MFN and Trade Preferences

MFN extends a tariff concession to other members

Illustration: A negotiates a tariff cut with B, from 10% to 5%



Most-favoured-nation treatment: the same tariff advantage applies to like goods from other WTO members, subject to permitted exceptions.

A separate rule, GATT Article XI, generally prohibits quotas and other quantitative restrictions.

GATT, Articles I, XI and XXIV. Illustrative rates; photograph on preceding divider: WTO, GATT signing, 1947.

Preferences give eligible partners a lower tariff

A's tariff on the same product

Origin	MFN	A–B free trade area
B	5%	0% if qualifying
C	5%	5%
D	5%	5%

Illustrative rates. A and B grant preferences to qualifying goods from each other.

Why check origin?

FTA members keep their own external tariffs.

A **rule of origin** determines which goods qualify for the preference.

Shipping through B alone is insufficient.

■ GATT permits qualifying free trade areas and customs unions. Their preferences are exceptions to MFN.

GATT, Articles I, XI and XXIV. See Article XXIV and the [1979 Enabling Clause](#).

A historical black and white photograph of a textile factory interior. Several women in long dresses are working at large, complex textile machines. The room has high ceilings with exposed beams and large windows on the left side. The overall tone is dark and industrial.

Textiles: Protection and Bargaining

Textile protection supported broader trade bargains



Kennedy, 1961–62

Cotton quotas helped secure textile-industry support for broader trade liberalization.

Reagan, 1980

He promised to limit import growth to growth in the domestic market. Existing agreements made that promise impossible to fulfill.

Southern concentration helped the industry organize. Unfulfilled promises also generated pressure for stronger protection.

Rivoli, “Dogs Snarling Together”, especially the presidential promises and textile coalition. Background photograph on preceding divider: Lewis Hine, North Carolina, 1908, Library of Congress.

Quotas redirected imports across places and products



Museum exhibit, 2008 · InSapphoWeTrust, [Wikimedia Commons](#), CC BY-SA 2.0.

Japan quota → Hong Kong

U.S. cotton-goods imports from Hong Kong rose **nearly 700%**, 1956–61.

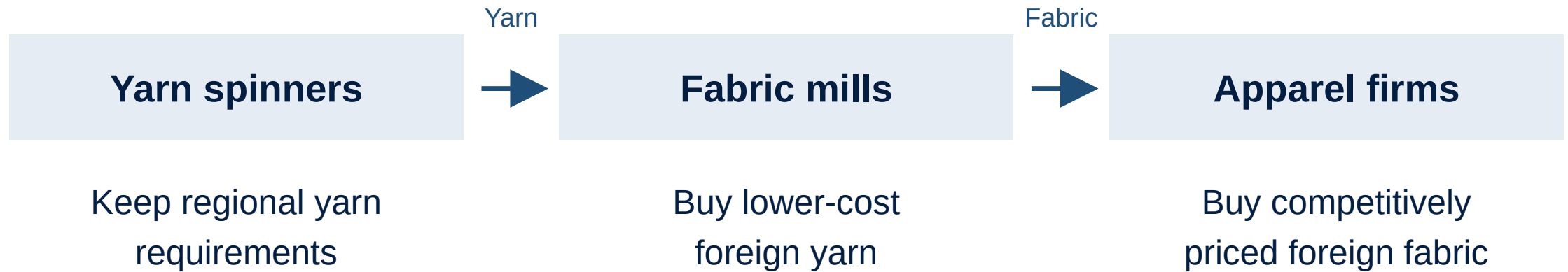
Cotton quotas → other fibres

U.S. synthetic-fibre imports from developing countries rose **2,500%**, 1964–70.

The **Multifiber Arrangement (MFA)**, 1974, extended quotas to more countries and fibres as producers changed sourcing routes.

[Rivoli, "Dogs Snarling Together"](#), discussion of the 1957 Japanese restraint, cotton arrangements, and the MFA.

Global sourcing divided the textile coalition



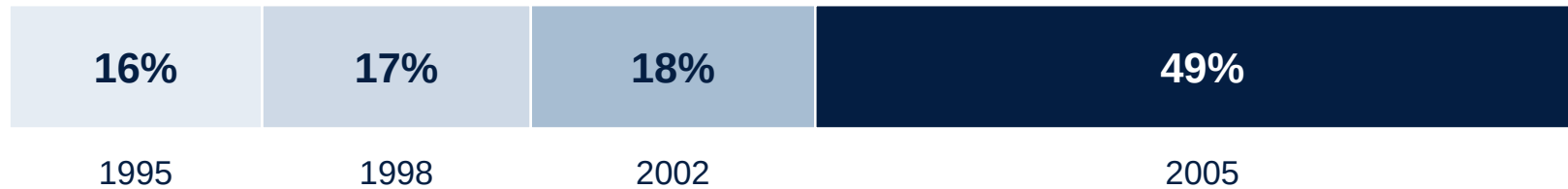
Retailers organized for easier imports. Developing-country exporters sought an end to the MFA in exchange for concessions in services and intellectual property.

Rivoli, "Dogs Snarling Together", discussion of retailer organization, upstream conflicts, and the International Textiles and Clothing Bureau.

The phaseout postponed most quota removal

The **Agreement on Textiles and Clothing (ATC)** set a ten-year transition, 1995–2005.

PRODUCTS INTEGRATED INTO GATT RULES
Share of 1990 import volume in covered products



What the schedule measured

Shares of **1990 import volume**, including products already unrestricted.

What Rivoli observed

About **85% of quotas** remained at the end of 2004. The first U.S. tranche removed only the Canadian work-glove quota.

The ATC ended in 2005. Tariffs and other forms of textile protection remained.

Rivoli, “Dogs Snarling Together”; WTO, Agreement on Textiles and Clothing.

Rules of Origin Activity

Which production makes a shirt eligible?



The Dominican Republic–Central America–U.S. agreement (**CAFTA-DR**) offers duty-free entry to garments that meet its origin rules.

U.S. Department of Commerce, [CAFTA-DR textiles](#). Historical teaching example; product-specific rules and exceptions apply.

Your team proposes a rule of origin

Stay in your industry project teams. Each team receives one role in the garment supply chain.

Production stages

Cotton grown → Yarn spun → Fabric knit → Garment sewn

1. Choose which stages must occur within the agreement region.
2. Explain whose costs or sales your rule changes.
3. Propose one exception that could attract another role's support.

10 minutes · Prepare a 45-second report · One rule and one exception

Yarn forward protects regional spinning and assembly



The general rule

Qualifying production starts with regional yarn. Cotton itself may come from outside the region.

The compromise

A short-supply exception permits certain inputs that are unavailable in the region.

Regional spinners gain demand. Apparel firms and retailers can gain duty-free access while accepting sourcing constraints.

[U.S. Department of Commerce, CAFTA-DR textiles](#). See the general yarn-forward rule and commercial-availability exceptions.

Regional Integration

Integration changes which border rules firms face

Arrangement	What members share	What firms still face
Free trade area	Preferences for qualifying internal trade	Origin tests; different external tariffs
Customs union	Common external tariff; free circulation of goods	External customs controls; other regulatory requirements
Single market	Rules for free movement of goods, services, capital and people	Remaining sectoral and national barriers

A monetary union adds a shared currency. Each arrangement has its own membership and obligations.

[Council of the EU: customs union, single market.](#)

Brexit restored origin checks and customs formalities



Port of Dover, 2013 · John Fielding, [Wikimedia Commons](#), CC BY 2.0.

Great Britain–EU trade

From January 2021 Zero tariffs under the trade agreement depend on meeting its origin rules.

Customs declarations and regulatory requirements still apply.

What records would establish the product's origin?

[European Commission, UK–EU Trade and Cooperation Agreement.](#)

Reflection: return to your IB Voice

How does your explanation account for the textile coalition's weakening?

Revise your opening response. State what changed and identify the evidence that persuaded you.

3 minutes writing · Then one brief response

Monday: private enforcement in the diamond trade



Why might firms rely on private rules to enforce a trading agreement?

Bernstein examines reputation and dispute resolution in the diamond trade.

Photograph: [Wikimedia Commons](#), CC0.

Backup: Congressional Bargaining

The 1986 veto override fell eight votes short

HOUSE VOTE TO OVERRIDE THE VETO, AUGUST 1986 · 425 MEMBERS VOTING



The 1985 Jenkins bill

230 cosponsors supported stronger global textile quotas.

A projected consumer cost

Cline estimated **\$43,945 per job saved** under the proposed bill.

Some members could support protection while expecting the president to block the bill.

Rivoli, "Dogs Snarling Together", Jenkins bill and override discussion.